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U.S.

Ford Lowers Full-Year Outlook

Earnings fell 48% in second quarter; higher commodity costs hurt auto maker's results

By Mike Colias

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Ford vehicles on display at a dealership in Shanghai. The auto maker's struggles deepened in China, where the company's sales sank 26% in the year's first six months. QILAI SHEN/BLOOMBERG NEWS

Ford Motor Co. on Wednesday reported a 48% drop in second-quarter net income and lowered its 2018 profit outlook, citing tariff-related commodity cost pressures and trouble in Asia and Europe. It also outlined plans for a broad, multiyear restructuring that could result in \$11 billion in charges.

Ford's net income of \$1.1 billion was hampered by about \$300 million in higher commodity costs compared with a year earlier, nearly half of which stemmed from U.S. tariffs on steel and aluminum, Chief Financial Officer Bob Shanks said during a roundtable discussion with reporters. The company expects the effect of the tariffs to

shave as much as \$600 million from the bottom line this year, Mr. Shanks said.

Ford's struggles deepened in China, where sales sank 26% in the first six months of the year. Ford's China business swung to an operating loss of \$483 million, from a \$23 million profit a year earlier. Mr. Shanks said Ford's product portfolio has grown stale in the world's largest car market, which has hurt both sales volumes and pricing.

The No. 2 U.S. auto maker by sales posted adjusted earnings per share of 27 cents, short of analysts' average forecast of 31 cents. Revenue fell 2% to \$38.9 billion.

Ford also was hurt by a nearly \$600 million hit from a drop in truck production stemming from a disruption at a parts supplier, which idled Ford's truck plants for more than a week in May.

"Obviously a very tough quarter for us," Mr. Shanks told reporters at Ford's headquarters Wednesday.

Ford Chief Executive Jim Hackett was appointed more than a year ago to set a long-term plan for the auto maker as innovations such as driverless and electric cars, and ride-sharing, threaten to transform the industry's century-old business model. He also has emphasized improving Ford's financial "fitness" by boosting profitability, in part through a plan to slash \$25.5 billion in cumulative expenses by 2022.

The restructuring effort would be separate from those cost cuts, Mr. Shanks said. He declined to give specifics but said the restructuring will be aimed at directing resources toward the most profitable and highest-potential parts of the business, such as the company's truck lineup in North America, which generates the bulk of Ford's bottom line.

"As we allocate capital to the places we think we can be bigger, better and stronger and away from the areas where we don't think we can get a return, there will be consequences," he said.

Rival General Motors Co. earlier Wednesday also said rising commodity costs, particularly steel, hurt second-quarter results. The Trump administration's 25% tariff on steel and 10% tariff on aluminum took effect June 1.

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Mike Colias is former deputy bureau chief for autos in The Wall Street Journal's Detroit bureau.

His coverage explored the auto industry's massive and messy transition to electric vehicles, self-driving cars and other technologies with the potential to reshape how people get around. He wrote and edited stories about Ford,...

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